making a ‘transition to a manufacturer with a full range of vehicles’ from its ‘bridge vehicles’, which were ‘rough and tough’ and ‘not so well finished’. He invested Rs 1,700 to Rs 2,000 crore for the Indica’s development during the period 1995–98. It was a huge sum for a company that had a turnover of around 10,000 crore at that time, says Wagh. Ratan would later term the production of the indigenous car as one of the ‘high points’ in his career as TELCO chairman.

When the car was exhibited, it generated intense excitement. It ‘looked stunning with its beautiful aerodynamic shape and large glass house’. At the launch, Ratan rejoiced that it was India’s first entirely indigenous car. He said, ‘We present the Indian public a car which we can proudly call it [sic] our own, with the external dimensions of the Zen, the internal dimensions of the Ambassador, because that’s what the Indian car buying public needs, to have the economies of a diesel car and which can be priced about that of a Maruti 800.’

The demand for the car was dizzying. There was all-round excitement and advertisers could hardly contain their triumphalist euphoria. At the end of the year of its launch, one advertisement of the car read: ‘You will never have to suffer a small car again.’ In the year of its launch, the Indica got 1,15,000 bookings. It brought in the company deposits of Rs 4,000 crore, reveals Kadle.

But the launch timing was inopportune. The commercial vehicles division was hit by the strong headwinds of sluggish economic growth. For the three years from 2000 to 2002, India’s GDP growth rate in comparison to the average growth rate in the eight years since economic liberalization shrank by more than 2.2 per cent to an average growth rate of 4.15 per cent. TELCO’s turnover tumbled nearly 35 per cent from the all-time high in 1997 to Rs 6,594 crore in 1999.

The Indica did not exactly turn out to be a dream car. It was beset by multiple problems. There was a wide mismatch between expectation and reality. The ‘expectation from owners, after all the hoopla created, was sky high and the unimaginable demand didn’t give workers enough time to gradually ramp up production and learn the ropes of building passenger cars’, wrote an automobile journal. The high noise and vibration levels in the car, the poor performance of its engines and issues with the fan belt disappointed eager customers.